

EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE - 49



**MISCELLANEOUS
EVENTS - 6**

Sequence of events in independent India towards rural wage employment guarantee.



These are the major differences between MGNREGA and VB-G RAM G.

Rural employment reset

VB-G RAM G recalibrates India’s framework for guaranteed wage employment by reorienting permissible works, introducing Centre-state fund sharing and bringing in digital accountability tools

FEATURE	MGNREGA	VB-G RAM G
Guaranteed Days	100 days per household (Section 3)	125 days per household (Clause 5)
Nature of Guarantee	Demand driven: Funding is open ended. If a worker demands work, the government must provide and fund it	Supply-Constrained: Clause 4(5) introduces "Normative Allocation" (fixed budget cap). Any expenditure above this allocation must be borne entirely by the State (Clause 4(6))
Funding Pattern	Centre pays 100% of unskilled wages and 75% of material costs. States pay only unemployment allowance and 25% material	Cost Sharing: sharp increase in the state share of programme expenditure, from 10% to 40% (with exceptions for northeast, Himalayan states and UTs). Crucially: States pay 100% of costs if they exceed the Center's "normative allocation" (Clause 22)
Work Availability	Year-round: Workers can demand work at any time	Restricted: Clause 6 mandates a 60-day ban on labour works during peak agricultural seasons (sowing/ harvesting)
Wage Payment	Wages paid by Centre (100%). Delays compensated by state; weekly payment	Wages paid via 60:40 split. Weekly payment mandated (Clause 5(3)), but state liability for unemployment allowance remains
Planning Unit	Gram Panchayat (GP): GPS mandate 50% of works. Shelf of projects created locally	National Stack: retains 50% work through GPs; "Viksit Gram Panchayat Plans" are aggregated into a "Viksit Bharat National Rural Infrastructure Stack" (Clause 4); Focus is on "saturation" rather local demand
Work Categories	Four categories: Natural resources management, individual assets for vulnerable households; common infrastructure for SHGs; general infrastructure	Four Thematic Domains: Water Security, Core Rural Infra, Livelihood Infra, Disaster Mitigation. (Schedule 1)
Tech & Monitoring	Social Audits and Muster Rolls	Heavy Tech Reliance: Retains social audit; adds digital tools and concurrent evaluation

SHANTI Act, 2025 with major legislative overhaul.

Legislative overhaul

The SHANTI' Act, 2025, opens up India's nuclear power sector for private and foreign participation and relaxes some regulatory and liability provisions

AREA	ATOMIC ENERGY ACT, 1962	CIVIL LIABILITY FOR NUCLEAR DAMAGE ACT, 2010	SHANTI' ACT, 2025
Ownership & participation	100% state monopoly	No change	Private and foreign participation, subject to licensing
Fuel cycle licensing	Fragmented control under government entities	Not addressed	Composite licences: one operator to hold licence for multiple fuel-cycle stages
Operator liability cap	Not specified	₹1,500 crore per incident	Graded caps based on reactor size, ~₹100 crore to ₹3,000 crore
Total liability cap	Not specified	300 million Special Drawing Rights	300 million Special Drawing Rights; Centre assumes additional liability
Supplier liability	Not applicable	Statutory right of recourse for operators against suppliers for defective equipment/services	No statutory right of recourse
Liability periods	Not specified	Up to 10 years (property damage) and 20 years (personal injury)	Retains the 10/20-year extinction periods
Regulatory structure	Atomic Energy Regulatory Board (AERB) set up without statutory status for certain regulations, safety functions	No change	AERB gets statutory status

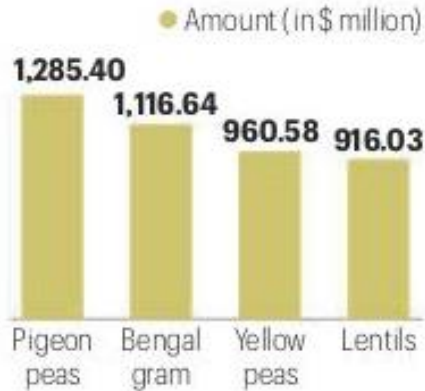
Legislative overhaul

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AREA	ATOMIC ENERGY ACT, 1962	CIVIL LIABILITY FOR NUCLEAR DAMAGE ACT, 2010	SHANTI' ACT, 2025
Executive exemptions	Not specified	Not specified	Allows exemptions from licensing, liability or other provisions for facilities deemed to pose "insignificant risk"
Access to justice	Not specified	Claims through designated authorities; civil remedies preserved	Criminal complaints restricted to authorised persons; claims limited to three years, with extinction after 10/20 years
Environmental safeguards	Environmental impact assessment mandatory	No change	No change
Information disclosure	Right To Information (RTI) Act applicable, with exemptions	RTI Act applicable	Centre empowered to prohibit publication and disclosure under RTI Act once notified

India's pulses imports increased significantly during the past 5 years

• Top four imported pulses in 2024-25



India's pulse imports in last five years

	Amount (in \$ million)
2020-21	1,611.72
2021-22	2,228.95
2022-23	1,943.89
2023-24	3,746.78
2024-25	5,477.28

This slide gives clarity about the criteria for horizontal devolution amongst states

The share for States

Till the 13th FC (2010-2015), the devolution involved specific transfers for Centrally Sponsored Schemes (CSS) with extensive conditionalities

Table 1: Criteria for horizontal devolution amongst States

Criteria	13th FC 2010-15	14th FC 2015-20	15th FC 2020-26	16th FC 2026-31
Income distance	47.5	50	45	42.5
Population (1971)	25	17.5	-	-
Population (2011)	-	10	15	17.5
Area	10	15	15	10
Forests	-	7.5	10	10
Fiscal discipline	17.5	-	-	-
Demographic performance	-	-	12.5	10
Tax effort	-	-	2.5	-
State's contribution to GDP	-	-	-	10
Total	100	100	100	100



Criteria for distribution of central taxes among states.

Change in share

Criteria for distribution of central taxes among states

CRITERIA	15 TH FC (2021-26)	16 TH FC (2026-31)
Income Distance	45%	42.5%
Population (2011)	15%	17.5%
Demographic Performance	12.5%	10%
Area	15%	10%
Forest	10%	10%
Tax and Fiscal Efforts	2.5%	-
Contribution to GDP	-	10%
Total	100%	100%

Sources: Reports of the 15th and 16th Finance Commissions; PRS

Grants-in-aid for 2026-31 (five-year period)

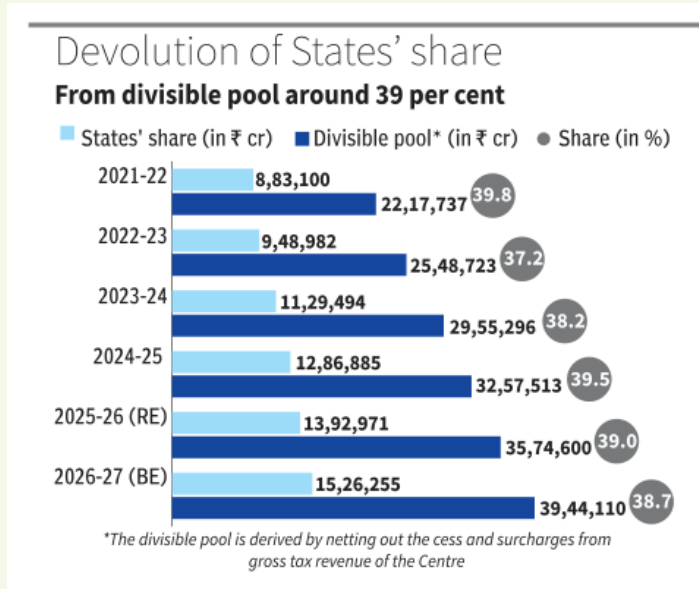
Sectoral allocation

Grants-in-aid for 2026-31 (in ₹ crore)

GRANTS	AMOUNT
Local governments	7,91,493
Rural local bodies	4,35,236
Basic Grant	3,48,188
Performance Grant	87,048
Urban local bodies	3,56,257
Basic Grant	2,32,125
Performance Grant	58,032
Special Infrastructure Component	56,100
Urbanisation Premium	10,000
Disaster management	1,55,916
Total	9,47,409

Source: Report of the 16th Finance Commission; PRS.

Important aspects in the context of 16th Finance Commission recommendations



Budgeted cess reduces in FY27 Cess & surcharges (in ₹ cr)



Higher devolution to States with higher population

Share of big States

States	FC 14	FC 15	FC 16
Uttar Pradesh	18.0	17.9	17.6
Bihar	9.7	10.1	10.0
Madhya Pradesh	7.6	7.9	7.4
West Bengal	7.3	7.5	7.2
Maharashtra	5.5	6.3	6.4
Rajasthan	5.5	6.0	6.4
Odisha	4.6	4.5	4.4

Source: 16th Finance Commission (FC) Report, Union Budgets

This is a snapshot on Installed Power Generation Capacity.

• Installed power generation capacity (in GW)

Source	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
Coal	209.29	210.7	211.86	217.59	218.97	226.23
Oil & Gas	25.43	25.41	25.41	25.63	25.41	20.71
Nuclear	6.78	6.78	6.78	8.18	8.18	8.78
Hydro	46.21	46.72	46.85	46.93	46.97	50.41
Wind	39.25	40.36	42.63	45.89	48.16	53.99
Solar	40.09	54.00	66.78	81.81	97.86	132.85
Bio Power	10.31	10.68	10.80	10.94	11.35	11.61
Small-Hydro	4.79	4.85	4.94	5.00	5.10	5.16
Total	382	400	416	442	462	510

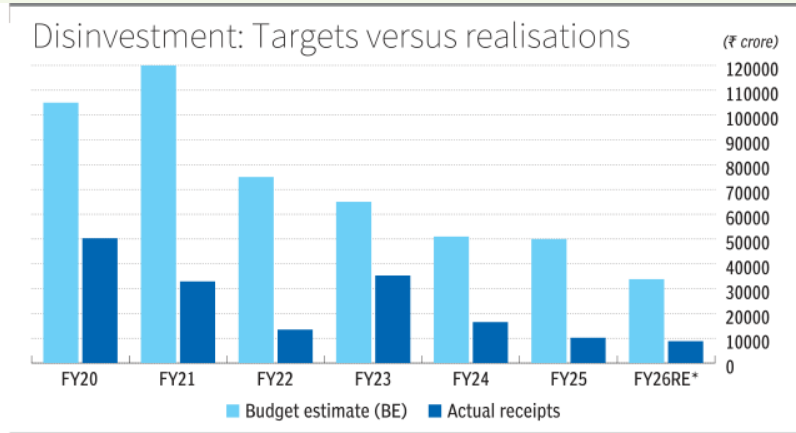
Source: NITI Aayog

Huge targets under National Monetization Pipeline (NMP) 2.0 for various sectors.

Sector-wise NMP 2.0 award targets

Sector	Total monetisation value (FY 2026-30/ ₹ crore)	% of total
Highways, MMLPs, ropeways	4,42,000	26
Power	2,76,500	17
Ports	2,63,700	16
Railways	2,62,300	16
Coal	2,16,000	13
Mines	1,00,000	6
Urban infrastructure	52,000	3
Civil aviation	27,500	2
Petroleum & natural gas	16,300	1
Warehousing & storage	10,000	1
Telecom	4,800	0.3
Tourism	1,200	0.1
Total	16,72,300	100

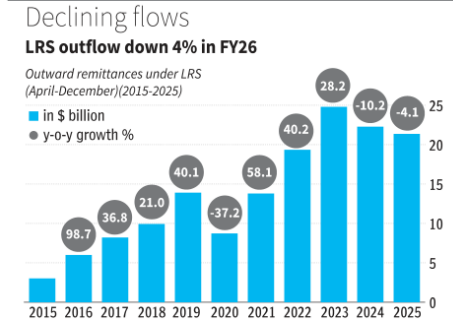
Disinvestment is a major failure for India.



Source: Fortune India

*FY26RE - the revised figure proposed in Budget 2026

Outflows under Liberalized Remittance Scheme (LRS) are at around 20 billion dollars annually.



Immovable property remittances surge 77%, studies abroad drop 22% in 2025

Purpose-wise break-up of LRS remittances (April-December) (in \$ billion)

Month	2024	2025	% growth
Purchase of immovable property	0.22	0.38	77.2
Investment in equity/debt	1.11	1.77	58.6
Donations	0.01	0.01	25.0
Deposit	0.42	0.47	11.6
Maintenance of close relatives	2.76	2.62	-4.9
Travel	13.10	12.38	-5.5
Gift	2.22	1.92	-13.5
Studies abroad	2.21	1.72	-22.3
Medical treatment	0.07	0.05	-34.3
Others*	0.17	0.07	-59.6

* Include items such as subscription to journals, maintenance of investment abroad, student loan repayments and credit card payments Source: DBIE

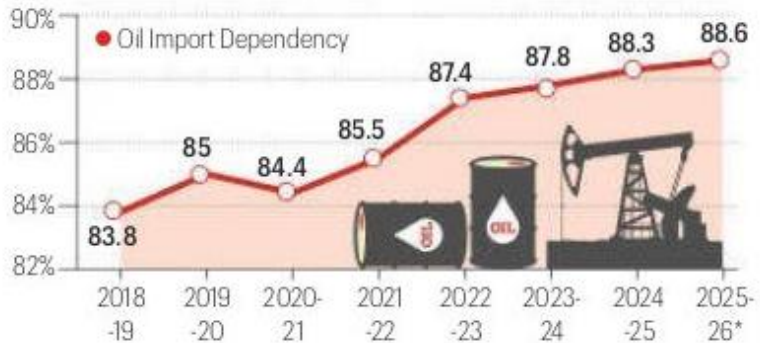
This slide gives idea about India's Rice Exports.

● India's Rice Exports (April-March fiscal years)

	Basmati		Non-Basmati	
	Quantity (IN LAKH TONNES)	Value (IN \$ MILLION)	Quantity (IN LAKH TONNES)	Value (IN \$ MILLION)
2020-21	46.3	4,018.41	131.49	4,810.8
2021-22	39.44	3,537.49	172.89	6,133.63
2022-23	45.61	4,787.65	177.92	6,356.71
2023-24	52.42	5,843.3	111.17	4,573.41
2024-25	60.65	5,944.49	141.3	6,527.98
Apr-Dec 24	42.42	4,322.7	93.33	4,405.26
Apr-Dec 25	46.99	4,097.45	105.21	4,208.25

India's crude oil import dependency is on increasing trajectory during the previous decade.

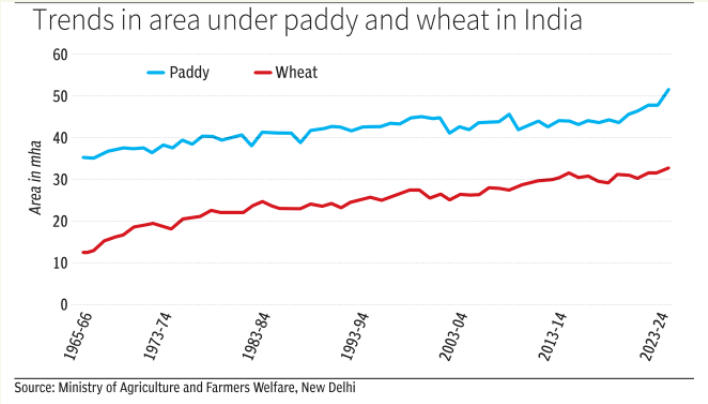
● India's rising reliance on crude oil import



SOURCE: PPAC

*APRIL-JANUARY

This slide gives idea about the increase in the area under paddy and wheat in India since 1965-66

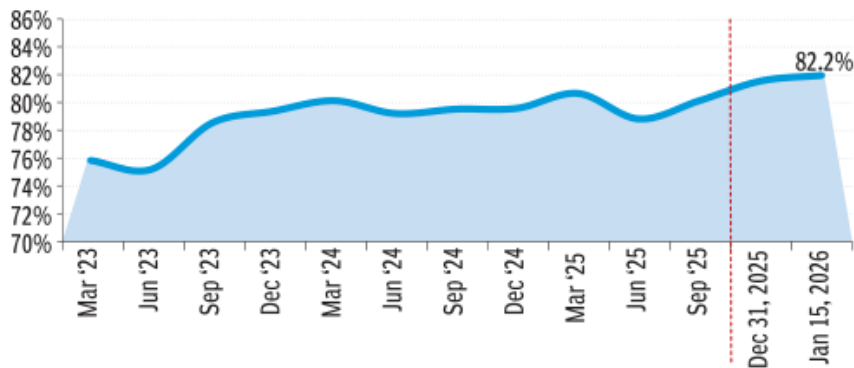


Pakistan feels that TTP is supported by the Taliban government in Afghanistan



Credit Deposit Ratio reached an all-time high of 82% in the banking system.

CD ratio rises to an all-time high of 82.2% for the second consecutive fortnight ending January 15



Note: The quarter-end data reflects the last fortnight's data of the quarter and compares post-merger figures; under the Banking Laws (amendment) Act, 2025, the definition of fortnight has been revised from alternate Fridays to the 15th and the last calendar day of a month, with effect from December 15, 2025.

Source: RBI, CareEdge Ratings

India is not among the global top 10 exporting countries but, stands at 7th position in global top 10 importers

Top 10 exporting and importing countries

Top 10 exporters	\$ trillion	Top 10 importers	\$ trillion
China	3.6	USA	3.3
USA	2.06	China	2.6
Germany	1.67	Germany	1.4
Japan	0.70	UK	0.8
Netherlands	0.699	Japan	0.74
South Korea	0.683	France	0.74
Italy	0.674	India	0.70
Hong Kong, China	0.649	Hong Kong, China	0.69
France	0.626	South Korea	0.64
Mexico	0.619	Mexico	0.64
World total	23.92	World total	24.2

Source: International Trade Centre's trade map from UNCTAD

NGT clears the Great Nicobar Project

• THE GREAT NICOBAR PROJECT



- Project also includes an integrated township
- Project entails diversion of 130 sq km forest land, felling of almost **a million trees**

Campbell Bay National Park

GREAT NICOBAR ISLAND

Great Nicobar Biosphere Reserve

Galathea National Park

4 pillars of the GNP

• The pillars of the mega project

₹81,000 crore
estimated cost



Significant increase in the Union Budget for Defence after Operation Sindoor.

A significant increase

This is the first full Union Budget presented after Operation Sindoor, and the financial footprint of the conflict is likely reflected in the budget for defence. The four-day intense aerial engagement following the Pahalgam terror attack exposed the need for a stockpile of armament

CHART 1: Defence expenditure as a percentage of total government expenditure (in ₹ crore) across select years, and at various Budget stages

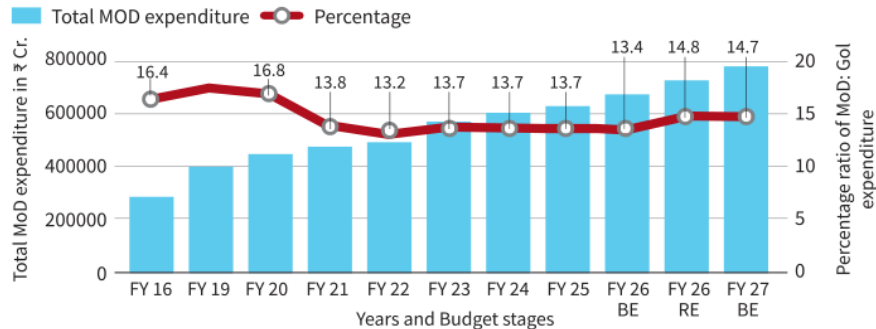
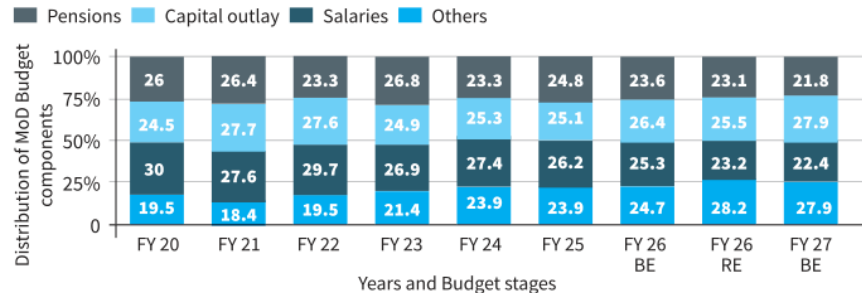


CHART 2: Comparative figures of capital outlay (in ₹ crore) across the past four years, and at various Budget stages

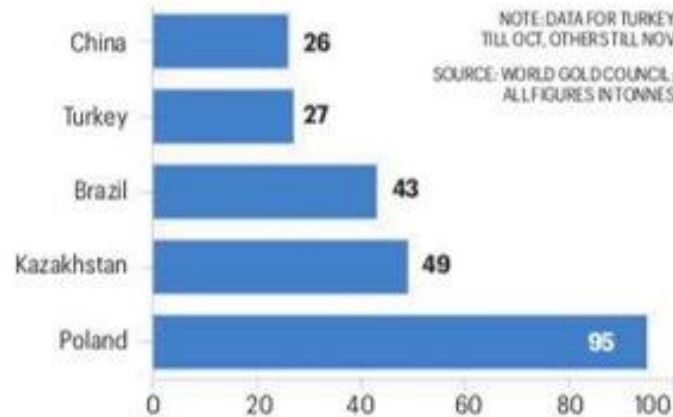
Years/ Stages	FY 23	FY 24	FY 25	FY 26	FY 27
BE (₹ crore)	1,52,369	1,62,600	1,72,000	1,80,000	2,19,306.47
RE (₹ crore)	1,50,000	1,57,228.2	1,59,500	1,86,454.2	-
Actuals (₹ crore)	1,42,940.01	1,54,256.28	1,59,768.4	-	-

CHART 3: Composition of MoD budget/ expenditures in percentage across select years, and at various Budget stages



Central Banks that bought most gold in 2025

Central banks that bought most gold in 2025



Global central banks holding fewer US dollars

YEAR	USD SHARE IN GLOBAL FOREX RESERVES (%)
1999	71.0
2024	58.5

SOURCE: IMF

These are the State-wise Areas of wheat cultivation in India

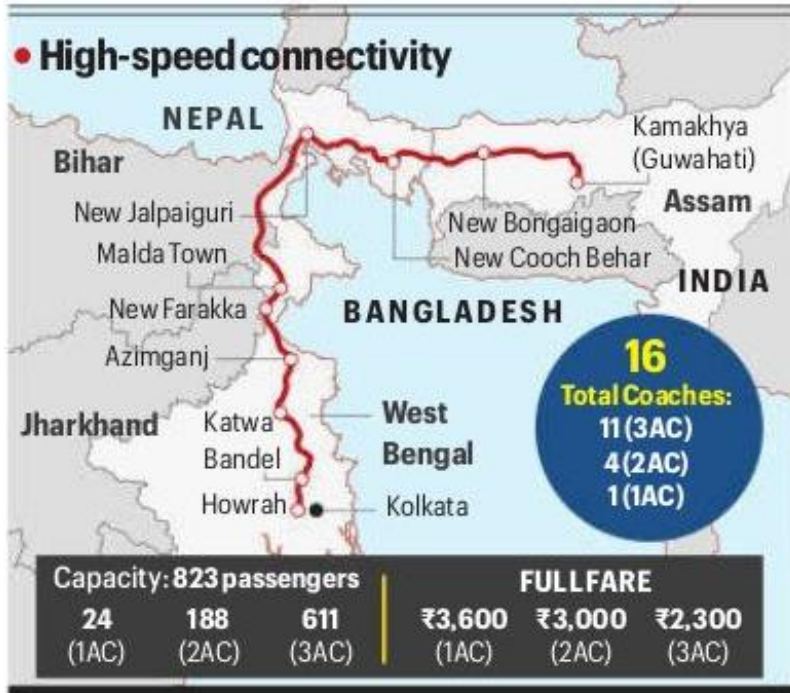
Record acreage

	2025	2026	% change
Uttar Pradesh	95.99	94.13	-1.9
Madhya Pradesh	77.49	85.73	10.6
Rajasthan	31.68	35.49	12.0
Punjab	35.12	34.89	-0.7
Haryana	23.88	24.48	2.5
Bihar	22.86	19.92	-12.9
Gujarat	12.82	13.24	3.3
Maharashtra	11.89	11.49	-3.3
Himachal Pradesh	3.07	3.1	1.0
Uttarakhand	2.58	2.8	8.5
Jammu & Kashmir	2.84	2.17	-23.7
Jharkhand	2.50	1.77	-29.2
All India	328.04	334.17	1.9

Source: Govt of India



1st Vande Bharat sleeper train is running between Howrah and Guwahati

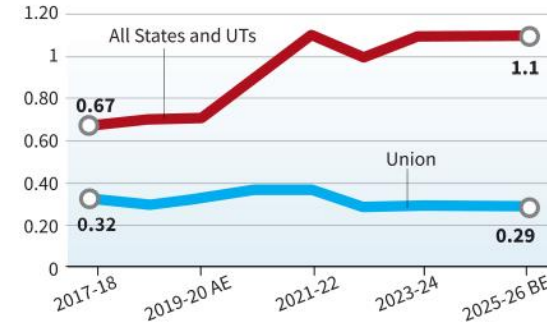


Union and State Government spending on health, put together, as a percentage of GDP is around just 1.4 only!

Health is wealth

During the COVID years, public spending on health as a percentage of GDP had increased somewhat, with much of the rise attributed to the States rather than the Union government

CHART 1: Union and State government spending on health (as % of GDP)



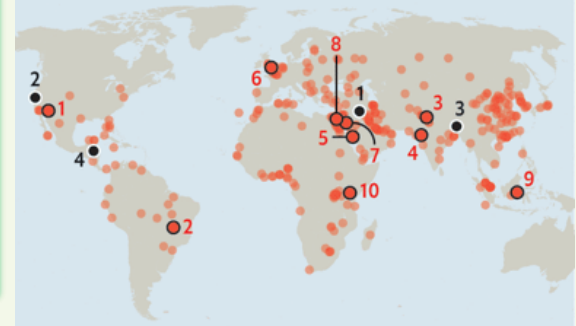
What do you know about the planned Greenfield Cities across the World?

Several greenfield cities have been planned across the World:

- Kenya ... Tatu.
- USA ... California Forever, Belmont.
- India ... Dholera.
- Honduras ... Prospera.
- Saudi Arabia ... NEOM.
- Indonesia ... Nusantara.
- Bhutan ... Gelephu.

Bright lights

New and planned cities*, Jan 1st 1945–Oct 1st 2021



- | | |
|--|--------------------------------------|
| 1 Belmont (United States) | 6 Milton Keynes (Britain) |
| 2 Brasília (Brazil) | 7 NEOM (Saudi Arabia) |
| 3 Chandigarh (India) | 8 New Administrative Capital (Egypt) |
| 4 Dholera (India) | 9 Nusantara (Indonesia) |
| 5 King Abdullah Economic City (Saudi Arabia) | 10 Tatu (Kenya) |

• Selected cities planned after 2021

- | | |
|--------------------------------------|-----------------------|
| 1 Al Rafeel (Iraq) | 3 Gelephu (Bhutan) |
| 2 California Forever (United States) | 4 Próspera (Honduras) |

*Based on a range of criteria, including distinct governance and a population of at least 100,000

Sources: Charter Cities Institute; *The Economist*

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